Tata Steel Ltd

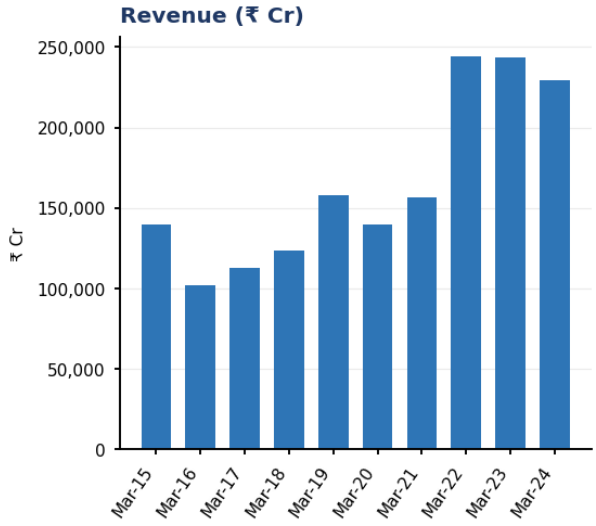
Materials | Steel | Latest FY: Mar-24 | ₹ Crore

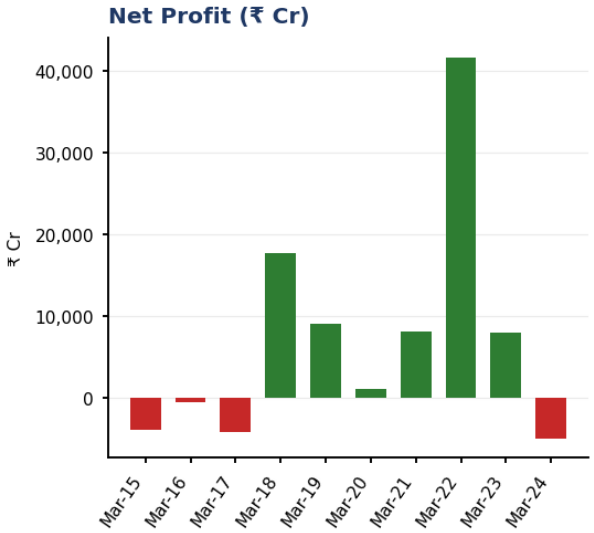
TATASTEEL

Key Performance Indicators

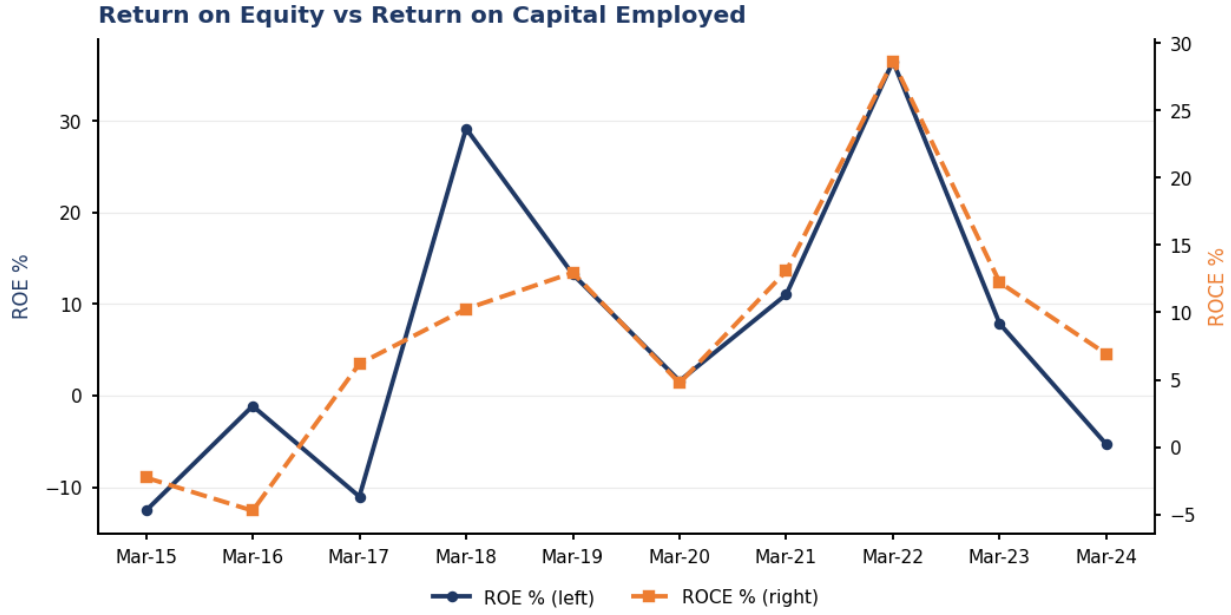
RETURN ON EQUITY	RETURN ON CAPITAL EMPLOYED	OPERATING PROFIT MARGIN
-5.3%	**6.9%**	**9.7%**
▼ -13.2 pts vs Mar-23	▼ -5.3 pts vs Mar-23	▼ -3.6 pts vs Mar-23
DEBT / EQUITY	**REVENUE CAGR (5Y)**	**NET PROFIT CAGR (5Y)**
0.95x	**7.8%**	**n/a**
▲ +0.12x vs Mar-23	compound annual rate	Turned loss-making

10-Year Revenue and Net Profit



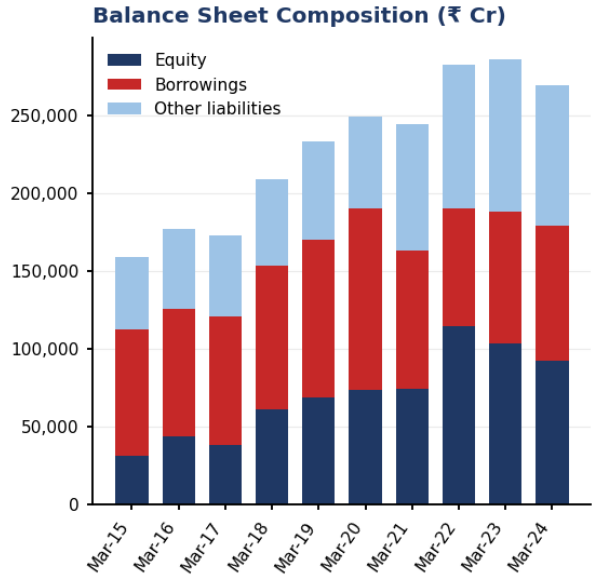


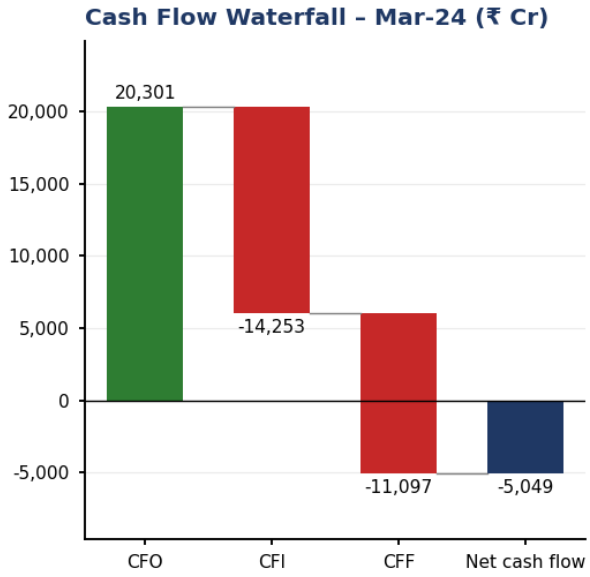
Return on Equity and Return on Capital Employed



Source: company financial statements (annual). Pros/cons are rule-based with confidence scores; not investment advice.

Balance Sheet Composition and Latest-Year Cash Flow





Capital Allocation

Reinvestor

Pattern history (CFO / CFI / CFF signs): Mar-21: Reinvestor → Mar-22: Reinvestor → Mar-23: Reinvestor → Mar-24: Reinvestor

Cash Flow Intelligence

CFO QUALITY (5Y CFO/PAT)	CAPEX INTENSITY	FCF CONVERSION	FCF CAGR (5Y)	FLAGS
6.59x	**6.6%**	**51%**	**n/a**	**None**
High Quality	Moderate	FCF / operating profit	Turnaround (base was negative)	

Pros

- Strong free cash flow generation over 5 years signals healthy business fundamentals (70%)
- Growing asset base funded by internal accruals reflects self-sustaining growth (69%)

Cons

- Company reported a net loss in the most recent financial year (82%)
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (74%)
- Revenue contraction over 2 consecutive years indicates demand weakness or market share loss (70%)
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (69%)

Source: company financial statements (annual). Pros/cons are rule-based with confidence scores; not investment advice.